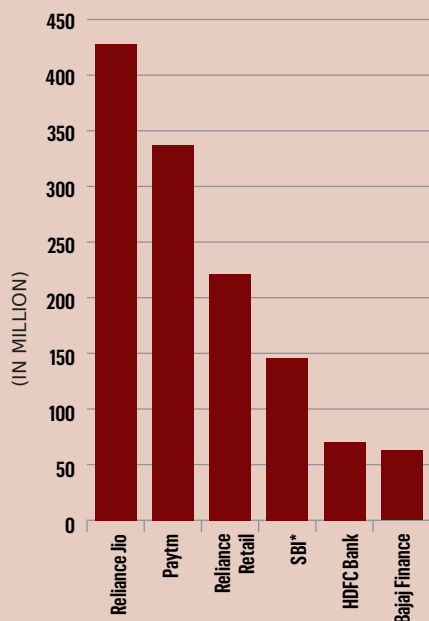


CONVERGING INTERESTS

With the largest number of customers, Reliance's consumer-facing businesses have a huge cross-selling opportunity

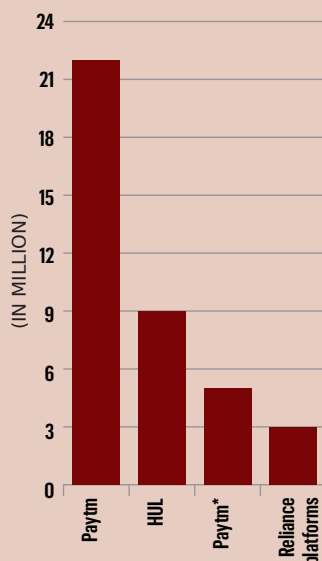


*LESS PRADHAN MANTRI JAN-DHAN YOJANA AND DORMANT ACCOUNTS; CUSTOMER BASE OF VARIOUS MAJOR INDIAN BUSINESSES

BACKGROUND STRENGTH

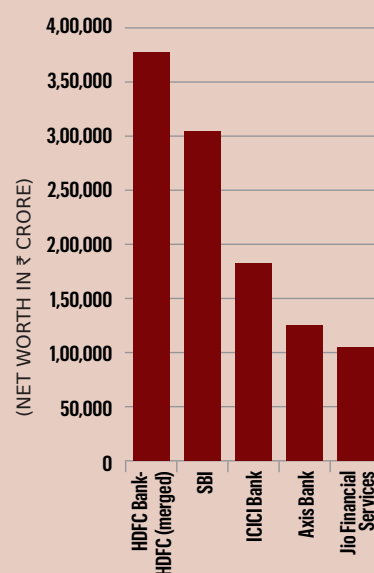
Reliance has created a strong network of partner merchants backed by its financial services arm to ensure that its consumer-facing businesses are well supported

Reliance's merchant/PoS partnerships have reached a third of Hindustan Unilever, India's largest FMCG player



*PoS DEVICE MERCHANTS; MERCHANT PARTNERS OF VARIOUS PLATFORMS AND COMPANIES

In its own right, Jio Financial Services is on its way to becoming one of the biggest NBFCs in India



SOURCE MACQUARIE RESEARCH, COMPANY DATA

services, coupled with over 200 million customers frequenting its branded retail outlets, JFS is already at the forefront of becoming one of the largest financial services companies in the country, say analysts at Macquarie Capital Securities. "JFS could be the fifth-largest financial services firm in India. RIL already has an NBFC licence, which it can leverage to kick-start consumer/merchant lending in a big way. JFS can be a real threat to fintech business models as well as NBFCs. JFS not only can offer attractive rates in merchant lending and digital unsecured lending markets, but also be reasonably competitive in the secured lending market eventually," their research notes (see 'Background Strength').

According to Choksey, RIL's

plan envisions an efficient, last-mile connected network of stores and *kiranas*, which in turn would be provided with every aspect of support in terms of logistics, products, financials, billing and accounting, among others. "It is very significant how they are developing this hub-and-spoke model on the back of their online Jio framework. Reliance has built an ecosystem that is unparalleled," he says.

No wonder, then, that RIL had aggressively bid for the country's largest wholesaler, Metro Cash and Carry India, the local subsidiary of German wholesale giant Metro AG. The deal—which recently received approval from India's competition watchdog CCI—is expected to support Reliance's new commerce strategy and expand

its presence in the metro and Tier I cities with large-format multi-category stores, a research report prepared by a team of analysts led by Mayank Maheshwari at Morgan Stanley notes. "With a presence in 8 of the 10 large cities, the acquisition should be a bolt-on to RIL's ambition to grow its last-mile reach by leveraging the relationship with *kirana* stores," the report adds. Metro, bought by RIL for ₹2,850 crore, has 31 large-format stores in 21 cities with around 3 million B2B customers, including 1 million who buy frequently; half of its stores are located in south India.

According to Maheshwari's research, RIL's recent moves in the M&A space have been well orchestrated and are aimed towards filling the gaps in its operations. "Its past